

Exp no:3

Building Corporate Risk Register & Risk Taxonomy

Aim

To build a structured corporate risk register and risk taxonomy in Eramba by defining risk categories, threats, vulnerabilities, and business risks.

Theory:

Part A → Risk Taxonomy

1. Risk Classification Types
2. Risk Classifications
3. Threats
4. Vulnerabilities

Part B → Risk Calculation

5. Likelihood × Impact
6. Risk Appetite / Threshold Matrix

Part C → Corporate Risk Register

7. Create 10 Business Risks
8. Verify risk details and analysis

Procedure:

Step 1— Open Business Risk Settings

1. From the left navigation menu, select Risk Management.
2. Select Business Risks.
3. Click Settings.

Risk Management → Business Risks → Settings.

Step 2— Configure Risk Classification Types

1. Open Risk Classification Types.
2. Verify that the following classification types are available:
 - Risk Category
 - Likelihood
 - Impact

Classification Type

Risk Category

Likelihood

Impact

Risk Classification Types		✕	
Filter:	Type to filter...	Search	Show: 10 ▾
Actions	Name	⋮ ⌵	
⋮	Likelihood		
⋮	Impact		
⋮	Risk Category		
Showing 1 to 3 of 3 entries		— 1 —	
		Close Add New	

Step 3 — Create Risk Category Classifications

1. Open Risk Classifications.
2. Click Add New.
3. Select Risk Category as the classification type.
4. Enter the classification name, description, and value.
5. Save the classification.

6. Repeat for all required categories.

Use the following classifications:

Name	Criteria	Value
Information Security	Risks related to protection of organizational information, systems, and data.	1
Cybersecurity	Risks arising from cyber attacks and security threats.	2
Operational	Risks affecting business processes and daily operations.	3
Financial	Risks that may cause financial loss or fraud.	4
Compliance	Risks arising from regulatory or legal non-compliance.	5
Strategic	Risks affecting organizational goals and strategy.	6
Human Resources	Risks related to employees and personnel activities.	7
Third Party	Risks arising from suppliers, vendors, and external parties.	2

Filter: Type to filter...					Show: 10	
Actions	Classification Type	Name	Criteria	Value		
≡	Risk Category	Information Security	Risks related to protection of organizational information, systems, and data.	1		
≡	Risk Category	Cybersecurity	Risks arising from cyber attacks and security threats.	2		
≡	Risk Category	Operational	Risks affecting business processes and daily operations.	3		
≡	Risk Category	Financial	Risks that may cause financial loss or fraud.	4		
≡	Risk Category	Compliance	Risks arising from regulatory or legal non-compliance.	5		
≡	Risk Category	Strategic	Risks affecting organizational goals and strategy.	6		
≡	Risk Category	Human Resources	risks related to employees and personnel activities.	7		
≡	Risk Category	Third Party	Description: Risks arising from suppliers, vendors, and external parties.	2		
≡	Likelihood	Low	Unlikely to occur	1		
≡	Likelihood	Medium	Possible to occur	2		
Showing 1 to 10 of 16 entries					1	2
					Close	Add New

Step 4 — Create Likelihood Classifications

1. In Risk Classifications, click Add New.
2. Select Likelihood.
3. Enter the likelihood levels.
4. Save each classification.

Use:

Likelihood	Criteria	Value
Low	Unlikely to occur	1
Medium	Possible to occur	2
High	Likely to occur	3

Very High Very likely to occur 4

Step 5 — Create Impact Classifications

1. Click **Add New**.
2. Select **Impact**.
3. Create the required impact levels.
4. Save each classification.

Use:

Impact	Criteria	Value
Low	Minor impact on the organization	1
Medium	Moderate impact on the organization	2
High	Major impact on the organization	3
Very High	Severe impact on the organization	4

Step 6 — Review Threats and Vulnerabilities

1. Remain within the **Business Risks** settings/configuration area.
2. Review the available **Threats**.
3. Review the available **Vulnerabilities**.
4. Confirm that the available entries can be associated with business risks.

Step 7 — Configure the Risk Calculation Method

1. Open **Risk Calculation Method**.
2. Select **Single Matrix – Addition**.
3. Enable the method.
4. Select:
 - Likelihood
 - Impact
5. Do not select Risk Category.
6. Save the configuration.

The resulting calculation is:

Risk Score = Likelihood + Impact

For example:

None

Likelihood = Medium = 2

Impact = High = 3

Risk Score = 2 + 3 = 5

Edit Action

Single Matrix - Addition

Single Matrix - Multiplication

Multiple Matrices - Multiplication

Enable

Method Name

Single Matrix - Addition

Description

This method will perform the summation of the classifications defined on the field below, for example if you define two classification types likelihood and impact they will be sum on each risk. In the case of Asset Risk Management, if the input asset has liabilities with a risk magnifier value different from zero they will be also included on the summation.

The formula is then: (summation of classifications) * (summation of asset liabilities), bare in mind if the summation of liabilities equals zero the second part of the equation is ignored to avoid a risk score of zero.

Settings

AFTER RE-SAVING A CALCULATION THE SYSTEM TAKES ANY AVAILABLE CLASSIFICATION FROM THE SELECTED TYPES BELOW AND RECALCULATE ALL RISKS.

Likelihood ×

Impact ×

Select two Risk Classification criteria in order to calculate Risk Scores.

Close

Save

Step 8 — Configure the Risk Appetite / Threshold Matrix

1. Open the Threshold configuration.
2. Verify that the calculation is based on:

Likelihood × Impact / the configured risk matrix display.

3. Verify the likelihood and impact levels appear in the matrix.
4. Configure or retain the default threshold configuration as appropriate.
5. Save the threshold configuration.

Edit Action

Threshold
Numerical

Enable

Method Name
Threshold

Settings
Likelihood x Impact

[Default Threshold] Not configured	Likelihood (Low)	Likelihood (Medium)	Likelihood (High)	Likelihood (Very High)
Impact (Very High)	Threshold is not configured, eramba will use default threshold configuration for this matrix	Threshold is not configured, eramba will use default threshold configuration for this matrix	Threshold is not configured, eramba will use default threshold configuration for this matrix	Threshold is not configured, eramba will use default threshold configuration for this matrix
Impact (High)	Threshold is not configured, eramba will use default threshold configuration for this matrix	Threshold is not configured, eramba will use default threshold configuration for this matrix	Threshold is not configured, eramba will use default threshold configuration for this matrix	Threshold is not configured, eramba will use default threshold configuration for this matrix
Impact (Medium)	Threshold is not configured, eramba will use default threshold configuration for this matrix	Threshold is not configured, eramba will use default threshold configuration for this matrix	Threshold is not configured, eramba will use default threshold configuration for this matrix	Threshold is not configured, eramba will use default threshold configuration for this matrix
Impact (Low)	Threshold is not configured, eramba will use default threshold configuration for this matrix	Threshold is not configured, eramba will use default threshold configuration for this matrix	Threshold is not configured, eramba will use default threshold configuration for this matrix	Threshold is not configured, eramba will use default threshold configuration for this matrix

Close
Save

Step 9 — Open the Business Risk Register

1. Close the Settings window.
2. Go to:

Risk Management → Business Risks

3. Click **+ Add Item** to create a business risk.

eramba
Dashboard
Program
Organization
Asset Management
Control Catalog
Risk Management
Asset Risks
Third Party Risks
Business Risks
Risk Exceptions
Compliance Management
Security Operations
Settings

Business Risks
Reviews
+ Add Item
Settings
All items 10
Views
+
Filter
Sort
Columns

	Dynamic Status	Reviews	Name	Next Review Date	Applicable Business Units	Processes	Risk Analysis Classification	Risk Analysis t
☐	☐	☒	2	Data Breach	2027-08-27	Information Technology	Likelihood (High) Impact (H): 6	
☐	☐	☒	2	Unauthorized Access	2027-08-27	Information Technology	Likelihood (High) Impact (H): 6	
☐	☐	☒	2	Malware Attack	2027-08-27	Information Technology	Likelihood (High) Impact (H): 6	
☐	☐	☒	2	System Downtime	2027-08-27	Operations	Likelihood (Medium) Impact: 5	
☐	☐	☒	2	Data Loss	2027-08-27	Information Technology	Likelihood (Medium) Impact: 5	
☐	☐	☒	2	Financial Fraud	2027-08-27	Finance	Likelihood (Medium) Impact: 5	
☐	☐	☒	2	Regulatory Non-Compla...	2027-08-27	Legal & Compliance	Likelihood (Medium) Impact: 5	
☐	☐	☒	2	Supplier Failure	2027-08-27	Operations	Likelihood (Medium) Impact: 4	
☐	☐	☒	2	Business Interruption	2027-08-27	Operations	Likelihood (Medium) Impact: 6	
☐	☐	☒	2	Reputation Damage	2027-08-27	Management	Likelihood (Low) Impact (H): 4	

Step 10— Enter the General Information

For each business risk:

1. Enter the Risk Name.
2. Enter the Description.
3. Select Risk GRC Contact.
4. Select Risk Originator Contact.
5. Enter the Next Review Date.
6. Save the information.

For your practical, use:

Risk GRC Contact: Admin Admin

Risk Originator Contact: Admin Admin

Next Review Date: 2027-08-27

Step 11— Configure the Risk Analysis

1. Open the **Analysis** tab.
2. Select the appropriate **Applicable Business Unit**.
3. Select the appropriate **Risk Analysis Classification**.
4. Choose the required **Likelihood**.
5. Choose the required **Impact**.
6. Verify the calculated risk score.

Analysis	
Applicable Business Units	Information Technology
Processes	
Threat Tags	
Threat Description	
Vulnerability Tags	
Vulnerability Description	
Risk Analysis Classification	Likelihood (High) Impact (High)
Risk Analysis Score	6
Risk Analysis Threshold	

Step 13 — Configure Risk Treatment

1. Open the Treatment tab.
2. Select the required treatment/response.
3. For the risks in your Experiment 3 register, use:

None

Risk Treatment: Accept

4. Save the risk.

Treatment		
Risk Treatment		Accept
Mitigating Business Continuity Plans		
Treatment Internal Controls		
Treatment Policies		
Treatment Risk Exceptions		
Treatment Projects		